operating earnings of a company and its share price? The answer appears to be yes, if we are given the appropriate time horizon.

When we set out to determine how closely price and earnings are connected, using our laboratory group of 12,000 companies, we learned that the longer the time period, the stronger the correlation. With stocks held three years, the degree of correlation between stock price and operating earnings ranged from .131 to .360. (A correlation of .360 means that 36 percent of the variance in the price was explained by the variance in earnings.) With stocks held for five years, the correlation ranged from .374 to .599. In the 10-year holding period, the correlation between earnings and stock price increased to a range of .593 to .695.

This bears out Buffett's thesis that, given enough time, the price of a business will align with the company's economics. He cautions, though, that translation of earnings into share price is both "uneven" and "unpredictable." Although the relationship between earnings and price strengthens over time, it is not always prescient. "While market values track business values quite well over long periods," Buffett notes, "in any given year the relationship can gyrate capriciously."[50] Ben Graham gave us the same lesson: "In the short run the market is a voting machine but in the long run it is a weighing machine."[51]

A Variety of Measuring Sticks

It is clear that Buffett is in no hurry to have the market affirm what he already believes is true. "The speed at which a business's success is recognized, furthermore, is not that important as long as the company's intrinsic value is increasing at a satisfactory rate," he says. "In fact, delayed recognition can be an advantage: It may give you a chance to buy more of a good thing at a bargain price."[52]

To help shareholders appreciate the value of Berkshire Hathaway's large common stock investments, Buffett coined the term *look-through* earnings. Berkshire's look-through earnings are made up of the operating earnings of its consolidated businesses (its subsidiaries), the retained earnings of its large common stock investments, and allowance for the tax that Berkshire would have to pay if the retained earnings were actually paid out.